exchange server reached the broker, the lag depending on the distance of the broker's server from the stock exchange's trading engine, though it was one of milliseconds. Through the co-location facility, the bigger brokers could race the small brokers in snatching the best quotes.

The smaller traders protested, since the Rs 25-odd lakh charged by NSE initially (the rates declined over a period of time) was too stiff for them, and put them at a disadvantage against foreign players for whom the amount was loose change. Local traders who played for very small spreads were hit the hardest. A software program would seize the best buy and sell quotes in the blink of an eye. Humans could never hope to match that speed. By the time a trader punched in an order after checking the prices on his screen, the software would have already snatched that trade away from him. Algos also had the ability to crowd out the smaller traders' orders by generating a large number of orders within a fraction of a second. For the small trader, it was like standing in a queue to buy tickets for a movie, only to find that the number of people ahead of him had suddenly trebled. Even assuming you were assured of tickets, you would be unlikely to get the seats of your choice. Similarly, the day trader would end up paying five paise or even more buying a stock, and get five paise (or more) less when selling a stock, simply because the algo would beat him to the best buy and sell quotes.

For a retail investor buying a stock for a longer time horizon, a five-paise or ten-paise difference did not really matter. But for the day traders, this difference was good enough to shrink their profits considerably, or even make trading itself unprofitable. The smarter among the lot changed their trading strategies and hung on, hoping for better times ahead. Instead of looking to make Rs 50 each on 100 trades, they decided to take bigger risks and attempted to make Rs 200 each on fewer numbers of trades. For some, it paid off and they were able to stay in the game. For many others, it was time to look for some other profession.

But institutional investors had other reasons to be unhappy about. Slowly but steadily, some of the privileges they had been enjoying for a long time were being taken away. It had started a couple of years ago when SEBI had asked institutions to start paying upfront margins on their cash market transactions. Until then, only non-institutional players had to pay upfront margins on cash market trades, as regulators thought it unlikely that institutions would ever default on their obligations to the stock exchanges. But the events leading to the global financial crisis punctured the aura of